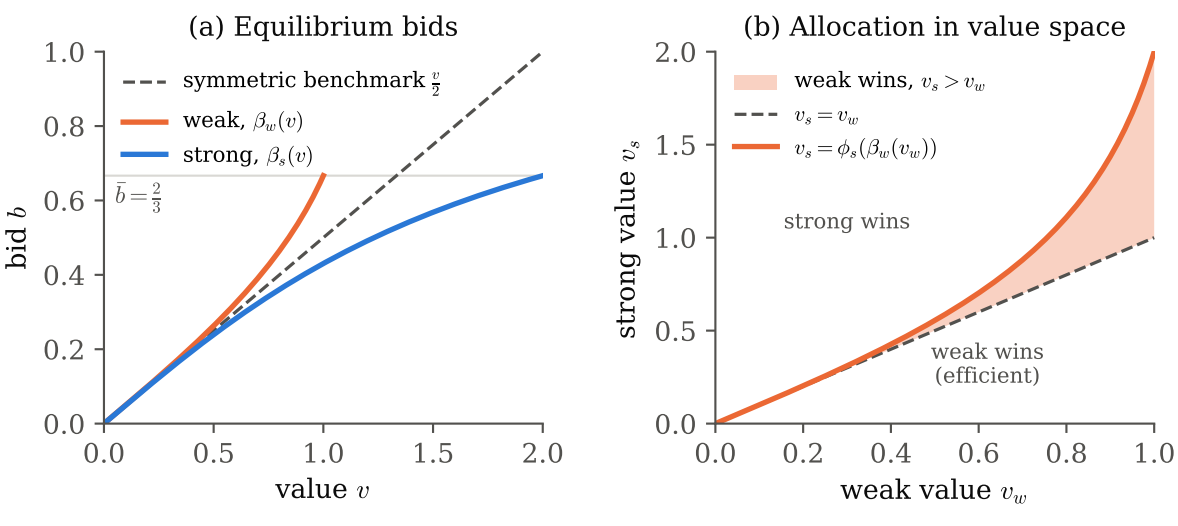
(a) Equilibrium bids
symmetric benchmark $\frac{v}{2}$
weak, $\beta_w(v)$
strong, $\beta_s(v)$
$\bar{b} = \frac{2}{3}$
bid b
value v
0.0
0.2
0.4
0.6
0.8
1.0
0.5
1.5
2.0
(b) Allocation in value space
weak wins, $v_s > v_w$
$v_s = v_w$
$v_s = \phi_s(\beta_w(v_w))$
strong wins
weak wins
(efficient)
strong value v_s
weak value v_w